

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

MAXIM DOBRUSHIN, *Claimant*

v.

SHIPCO TRANSPORT INC AND SEASPACE INTERNATIONAL
FORWARDERS USA INC., *Respondents*.

DOCKET NO. 1979(I)

Served: August 10, 2022

BEFORE: Theresa DIKE, *Small Claims Officer*.

ORDER APPROVING CONFIDENTIAL SETTLEMENT AND DISMISSING PROCEEDING

On June 14, 2022, the Secretary of the Federal Maritime Commission (“FMC” or “Commission”) issued a Notice of Filing of Small Claims Complaint and Assignment noting that Claimant Maxim Dobrushin had filed a complaint against Respondents Shipco Transport Inc. (“Shipco”) and Seaspac International Forwarders USA Inc. (“Seaspac”). Summarized, Claimant alleges that Shipco deviated his cargo from California to the Cayman Islands, resulting in the destruction of the cargo and damages to Claimant in the amount of \$15, 342.25. Claimant further alleges that Shipco violated sections 41104 and 41102 of the Shipping Act, 46 U.S.C. §§ 41104 and 41102, and section 515.32 of the Commission’s Rules and Regulations, 46 C.F.R. § 515.32.

The Secretary instructed Respondents to file a response to the Claim by July 11, 2022, and to state whether they consent to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305). The Secretary also assigned the proceeding to the Chief Administrative Law Judge to designate a Small Claims Officer to adjudicate the proceeding.

When no response was received from Respondents by July 11, 2022, the Office of the Administrative Law Judges (“OALJ”) sent them a reminder by email. On July 18, 2022, OALJ received an email from Claimant stating that he wished to withdraw his complaint, and on August 1, 2022, Claimant and Shipco submitted a Joint Motion to Dismiss Informal Complaint by Order of the Presiding Officer (“Joint Motion”) and a Confidential Settlement and Release Agreement (“Settlement Agreement”).

Respondents have not yet filed a response to the Claim and did not object to the adjudication of this Claim under the informal procedures. Accordingly, on August 10, 2022, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication under the Commission’s informal procedures.

Claimant entered into a settlement agreement solely with Respondent Shipco; however, Claimant seeks to withdraw the Claim as to both respondents.

Pursuant to Rule 72(a)(3):

[A]n action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3).

In cases where the respondent has not yet filed a response and no settlement agreement has been reached by the parties, “the complainant may dismiss an action without an order from the presiding officer by filing a notice of dismissal. 46 C.F.R. § 502.72(a)(1). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim. Because Respondent Seaspace has not yet filed a response to the Claim and did not enter into an agreement with Claimant, the notification from Claimant that it wishes to withdraw its complaint is sufficient to dismiss the complaint against Seaspace.

Addressing the claim against Shipco, with whom Claimant entered into a settlement agreement, the Commission's regulations allow settlements by litigating parties, however the Commission requires that settlement agreements be submitted “for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” *Maier Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its “strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid.” *Maier Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a “proffered settlement does not appear to violate any law or policy and is free of fraud duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Id.* At 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

Here, the “Parties certify that the Agreement is free of fraud, duress, undue influence, mistake, or other defects which might make it unprovable [*sic*] by the Presiding Officer.” Joint Motion at 1. A review of the settlement agreement, which is signed by all parties, does not show any indicia of fraud, duress, undue influence, or mistake and appears to reflect an arms-length resolution between the parties. The parties state that they “wish to resolve their dispute so as to avoid litigation and the loss of time and resources associated therewith.” Settlement Agreement at 1. The terms appear to be fair, reasonable, and adequate. Accordingly, the parties’ settlement agreement is approved and this proceeding dismissed.

The parties request that the terms of their settlement agreement be kept confidential, stating that “the Agreement contains business proprietary and confidential information.” Joint Motion at 1. “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted); *Marine Dynamics v. R.T.M Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991). The parties’ request to keep their settlement agreement terms confidential is reasonable and thus granted.

Upon consideration of the proposed settlement and the joint motion to dismiss, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that the request for confidentiality be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.



Theresa Dike
Small Claims Officer